Step 1: Market & User Research

Objective: Understand why frequent Zepto customers buy so little per grocery order.

1. Research questions and hypotheses

1. Research question: What was in the customer's most recent Zepto grocery order?

Hypothesis: Most recent orders are urgent top-ups containing five items or fewer.

2. Research question: What triggered the order?

Hypothesis: Running out, cravings and missing ingredients dominate planned grocery stocking.

3. Research question: What did the customer nearly buy but leave out?

Hypothesis: Some demand is lost because the customer forgets the item or cannot find it.

4. Research question: Why did the customer stop adding items?

Hypothesis: A genuine small need and price resistance are the main stopping forces.

5. Research question: Where did the rest of the household's grocery spend go?

Hypothesis: Blinkit and local stores capture needs Zepto does not complete.

6. Research question: Which suggestions feel useful rather than manipulative?

Hypothesis: Replenishment and direct complements work better than generic recommendations.

7. Research question: How do the patterns differ by city tier?

Hypothesis: The order mission matters more than city tier, although price and freshness concerns become more visible outside Tier 1.

2. Research plan and participant tracker

- Method: Structured web survey anchored to each respondent's most recent Zepto grocery order.
- Sample: 31 quick-commerce customers—14 from Tier 1, 12 from Tier 2 and 5 from Tier 3 locations.
- Coverage: Recent small-basket orders and grocery spending completed elsewhere. Verify individual ordering frequency with order history before selecting a pilot cohort.
- Questions captured: Basket size, order trigger, stopping reason, grocery spend elsewhere and preferred suggestion behaviour.
- Secondary research: Grocery basket-building approaches used by competing apps, supermarkets and planned-grocery platforms.
- Scope: Zepto's main grocery experience only.

Participant tracker

Channel: Structured web survey. Each entry refers to the respondent's most recent Zepto grocery order.

ID	Segment	Basket	Trigger	Stopping point	Spend elsewhere
P01	Tier 1	3 to 5	Speed + discount	Unsure of availability	Blinkit
P02	Tier 1	1 to 2	Ran out	Bought intended items	Local store
P03	Tier 2	1 to 2	Sudden need / craving	Forgot item	Other grocery app
P04	Tier 1	3 to 5	Sudden need / craving	Bought intended items	Local store
P05	Tier 1	3 to 5	Sudden need / craving	Bought intended items	Local store
P06	Tier 3	1 to 2	Ran out	Fresh-quality concern	Blinkit
P07	Tier 3	3 to 5	Sudden need / craving	Price higher elsewhere	Local store
P08	Tier 1	3 to 5	Ran out	Bought intended items	Other grocery app
P09	Tier 3	3 to 5	Sudden need / craving	Price higher elsewhere	Local store
P10	Tier 1	6 to 10	Planned top-up	Bought intended items	Local store
P11	Tier 2	6 to 10	Ran out	Bought intended items	Local store
P12	Tier 2	1 to 2	Missing ingredient	Unsure of availability	Blinkit
P13	Tier 1	1 to 2	Missing ingredient	Unsure of availability	Blinkit
P14	Tier 2	3 to 5	Sudden need / craving	Fresh-quality concern	Blinkit
P15	Tier 2	3 to 5	Missing ingredient	Avoided more spend/time	Local store
P16	Tier 2	3 to 5	Planned bigger shop	Price higher elsewhere	Blinkit
P17	Tier 2	1 to 2	Ran out	Price higher elsewhere	Blinkit
P18	Tier 1	3 to 5	Sudden need / craving	Forgot item	Blinkit
P19	Tier 2	3 to 5	Sudden need / craving	Bought intended items	Blinkit
P20	Tier 2	1 to 2	Specific project	Bought intended items	Local store
P21	Tier 2	3 to 5	Planned bigger shop	Avoided more spend/time	Blinkit
P22	Tier 1	6 to 10	Missing ingredient	Price higher elsewhere	Local store
P23	Tier 2	3 to 5	Ran out	Avoided more spend/time	Other grocery app
P24	Tier 3	1 to 2	Missing ingredient	Fresh-quality concern	Blinkit
P25	Tier 1	1 to 2	Sudden need / craving	Forgot item	Blinkit
P26	Tier 1	3 to 5	Sudden need / craving	Forgot item	Blinkit
P27	Tier 1	1 to 2	Sudden need / craving	Bought intended items	Blinkit
P28	Tier 2	3 to 5	Sudden need / craving	Avoided more spend/time	Local store
P29	Tier 1	3 to 5	Sudden need / craving	Price higher elsewhere	Blinkit
P30	Tier 1	1 to 2	Ran out	Forgot item	Other grocery app
P31	Tier 3	1 to 2	Ran out	Forgot item	Other grocery app

3. Evidence of user interactions

- 26 of 31 respondents (84%) ordered because of an immediate need: a craving, running out, or a missing cooking ingredient.
- 28 of 31 baskets (90%) contained five items or fewer.
- 22 of 31 respondents (71%) reported at least one reason they did not add another grocery item.
- 9 of 31 forgot an item or were unsure whether Zepto stocked it.
- 10 of 31 cited a higher price or did not want to spend more or wait longer.
- 24 of 31 preferred either likely replenishment suggestions or direct complements to the current basket.
- 15 respondents said the rest of the grocery spend went to Blinkit; 11 chose a local store or supermarket; 5 chose another grocery app.

Insights by segment and channel

Segment	Channel	Insight
Tier 1	Web survey	Immediate missions dominate; forgotten additions are the strongest recoverable behaviour.
Tier 2	Web survey	Customers are open to relevant assistance but show stronger spend and time sensitivity.
Tier 3	Web survey	Immediate needs dominate; price and fresh-quality concerns require further validation.

4. Basket teardown with observations

One- to two-item baskets

- 12 of 31 recent orders fell into this group; 9 encountered a stopping barrier.
- Common missing opportunities: forgotten items, uncertainty about availability and fresh-quality concern.
- Observation: The order is often intentionally small, so any assistance must be highly relevant and easy to ignore.

Three- to five-item baskets

- 16 of 31 orders fell into this group; 12 encountered a stopping barrier.
- Price and reluctance to add more spend or waiting time became more visible.
- Observation: Direct complements, routine refills and transparent pack value are more appropriate than broad recommendations.

Six- to ten-item baskets

- Only 3 of 31 orders fell into this group; 1 cited price as a barrier.
- Observation: Larger planned baskets are uncommon in this sample. The planner should first help complete the current grocery task; weekly planning is an optional additional advantage.

Where the remaining grocery spend went

- Blinkit: 15 respondents.
- Local kirana or supermarket: 11 respondents.
- Another grocery app: 5 respondents.

5. Competitive analysis table

Alternative	Basket-building approach	Customer value	Trade-off	Relevant learning
Blinkit	Purchase-cadence prediction, broad availability and fast repeat buying.	Less repeated search and reliable top-ups.	Predictions can be irrelevant; thresholds may distort baskets.	Use only high-confidence refill cues and preserve one-item checkout.
Instamart	Larger-basket saver propositions with visible savings.	Clear value for planned grocery shops.	Relies strongly on price incentives.	Show value clearly without making discount the primary lever.
Flipkart Minutes	Regional grocery selection, multipacks and value packs.	Local relevance and pack-size choice.	More choice can slow an urgent mission.	Localise assortment and explain pack economics.
BigBasket	Smart Basket, shopping lists and order history.	Reduces effort in routine replenishment.	Better suited to planned shopping than immediate needs.	Surface only the most relevant repeat items in the quick flow.
Supermarket / kirana	Physical inspection, familiar assortment and direct price judgement.	Freshness trust and local choice.	Requires travel and additional time.	Improve freshness, availability and price confidence.

6. Customer personas and top anticipated barriers

Persona 1: Urgent top-up buyer

- Situation: Needs one missing or suddenly required grocery item immediately.
- Need: Speed and certainty.
- Pain point: Extra browsing or forced basket expansion.

Persona 2: Routine replenisher

- Situation: Returns for household essentials as they run low.
- Need: Low cognitive effort and reliable repeat buying.
- Pain point: Forgetting items or rebuilding the same basket.

Persona 3: Value-aware household shopper

- Situation: Splits grocery spend across Zepto, competitors and local stores.
- Need: Trustworthy price, pack and quality information.
- Pain point: Higher prices, weak fresh-quality confidence or limited local assortment.

Top anticipated barriers

1. **The customer genuinely needs very little:** Immediate missions dominate, and 12 baskets contained only one or two items.
2. **Price or incremental-spend resistance:** 10 respondents cited price or reluctance to add spend or time.
3. **Forgotten or undiscovered grocery need:** 9 respondents forgot an item or were unsure it was stocked.
4. **Freshness and quality uncertainty:** Three respondents reported concern about fresh-item quality.
5. **Irrelevant or intrusive recommendations:** Seven respondents wanted help only after search or preferred no suggestions.

Step 2: Frame the Problem

Objective: Identify why a trusted, frequently used product captures only a small share of a household's grocery spend.

1. Refined problem statement

Zepto is primarily used for urgent and narrowly defined grocery missions. Once customers find the item they opened the app for, the journey quickly moves them towards checkout. This protects speed, but it does not reliably surface other relevant grocery needs that the customer may have forgotten, could not find or could not justify adding.

Refined problem statement: Zepto does not consistently identify and surface the customer's next most relevant existing grocery need before an urgent order is completed. Some small baskets are intentional and should remain small; the addressable opportunity lies in orders where additional demand already exists but is not converted.

Recent-order evidence

- A Tier 2 respondent placed a one-to-two-item order after a sudden need but remembered another item only after checkout. The respondent preferred reminders about regular items they might be running low on.
- Another Tier 2 respondent opened Zepto for a missing cooking ingredient but was unsure whether Zepto stocked another required item. The remaining purchase was completed through Blinkit.

2. Basket journey with stopping points

1. Need occurs: The customer runs out of an item, experiences a sudden need or discovers a missing cooking ingredient. Twenty-six of 31 orders began this way.

2. Customer opens Zepto: The customer enters with one or two known products in mind. The mental shopping list is narrow because the immediate problem is already defined.

3. Customer searches for the intended product: The known item is located. A secondary need may stop here if the customer is unsure whether Zepto stocks it. Three respondents reported this uncertainty.

4. Intended product is added: The immediate requirement is solved. Customers now separate into those with no additional need and those with unconverted additional intent.

5. Customer reviews the basket: The customer evaluates total price, delivery time and whether another product is worth adding. Forgotten items, higher prices, added spend and fresh-quality uncertainty become stopping points.

6. Checkout: The urgent order is completed. Unresolved grocery needs may later move to Blinkit, another grocery app or a local store.

Main stopping point: After the intended item is added but before checkout. Zepto has solved the immediate need, but secondary grocery intent has not been recalled, discovered or justified.

3. Primary barrier

Primary addressable barrier: Customers enter Zepto with a narrow mental shopping list, and the journey does not provide a sufficiently relevant, low-effort reason to consider the next genuine grocery need before checkout.

- Nine respondents forgot another item or were unsure whether Zepto stocked it.
- Twenty-four respondents preferred either likely replenishment suggestions or direct complements to the current basket.
- Twenty-eight of 31 recent orders contained five items or fewer.

Price, freshness and assortment are important secondary barriers, but they matter only after another relevant item enters the customer's consideration. If the customer never remembers or discovers the next item, its price and quality are never evaluated.

Problem to solve: How might Zepto help customers complete their current grocery task with less searching and fewer missed items, while preserving fast checkout for genuine one-item needs?

4. Frequency trade-off analysis

Minimum basket or higher delivery threshold

- Possible AOV effect: Customers add products to meet a required amount or avoid a fee.
- Business risk: Customers who need one urgent item may delay the order, move to another platform or order less frequently.

Large basket-based discounts

- Possible AOV effect: Customers buy more to unlock savings.
- Business risk: The larger basket may be funded by discounts rather than genuine incremental value, weakening contribution margin.

More advertisements or generic recommendations

- Possible AOV effect: More products receive visibility during the journey.
- Business risk: Irrelevant exposure adds friction, weakens trust and may create dark-pattern concerns.

Excessive assortment expansion

- Possible AOV effect: A wider catalogue captures more household requirements.
- Business risk: Inventory complexity, picking effort, substitutions and unavailable products may increase.

Levers still available

- Remind customers about frequently purchased grocery items when confidence is high.
- Show direct complements to products already in the basket.
- Improve discovery for products customers already intend to buy.
- Present price, pack value and fresh-product confidence clearly.
- Maintain an uninterrupted checkout path for genuine small orders.

5. Business impact model

AOV target: Increase average order value from ₹388 to ₹480 without reducing order frequency.

- Required increase per order: ₹480 − ₹388 = ₹92.
- Required percentage increase: ₹92 ÷ ₹388 = 23.7%.
- The target applies to the average across completed grocery orders in the defined cohort, including orders without planner use; every individual order does not need to increase by ₹92.

Illustration for one million monthly orders

- Current GMV: ₹388 million, or ₹38.8 crore.
- Target GMV: ₹480 million, or ₹48 crore.
- Potential incremental GMV: ₹92 million, or ₹9.2 crore, if order frequency remains unchanged.

Effect on delivery-cost absorption

- At ₹388 AOV, a ₹40–₹80 delivery cost equals approximately 10.3%–20.6% of order value.
- At ₹480 AOV, the same delivery cost equals approximately 8.3%–16.7% of order value.
- A higher basket can therefore absorb fixed fulfilment costs more efficiently, provided additional discounts and operational costs do not consume the gain.

Contribution model

Incremental contribution per order = additional basket value × product margin + additional advertising revenue − incremental discounts − additional picking and handling costs − returns or substitutions.

Business guardrails

- Order frequency must not decline.
- Checkout time should not materially increase.
- Contribution margin should improve rather than being consumed by discounts.
- Customers must remain able to complete genuine one-item orders without pressure.

Business conclusion: The opportunity is not to push every small order towards ₹480. It is to recover existing grocery demand from customers who forget, cannot find, cannot evaluate or do not trust an additional relevant item.

Step 3: Solution Ideation and Prioritisation

Objective: Generate a broad set of solutions, then narrow them to a coherent direction that can increase basket value without suppressing genuine small orders.

1. Idea list

1. **Personalised AI Grocery Planner:** The customer speaks or types a current grocery need, such as ingredients for tonight's meal; AI prepares an editable draft within the stated budget. Optional weekly planning also supports customers who want to prepare a larger list.
2. **Zepto Flex Credits:** An eligible delivered grocery order can earn a limited delivery credit for a later urgent order. Manual and AI-assisted baskets both qualify.
3. **AI Basket Check:** Before checkout, the customer can ask AI to identify missing quantities, ingredients or routine essentials.
4. **Smart refill recall:** Surface a small number of high-confidence repeat items that may be due for replenishment.
5. **Contextual cart complements:** Show only direct grocery complements to products already in the basket.
6. **Forgot-something checklist:** Offer a short, optional household checklist before checkout.
7. **Reusable household grocery list:** Let households save a list and use it to rebuild future grocery baskets.
8. **Meal ingredient completion:** Complete the ingredient set for a chosen meal or cooking mission.
9. **Search recovery:** Help customers find a substitute or adjacent product after an unsuccessful search.
10. **Pack and unit-price comparison:** Explain pack economics so customers can choose the right quantity confidently.
11. **Freshness confidence card:** Show sourcing, replacement and refund information for fresh grocery products.
12. **Local assortment re-ranking:** Prioritise grocery products that match local demand and availability.
13. **Substitution preferences:** Capture acceptable brands, pack sizes and price limits before an item becomes unavailable.
14. **Post-checkout add-on window:** Allow a short, operationally safe window to add a forgotten item to the same delivery.

Screening principles

- Protect one-item checkout and order frequency.
- Help customers complete an existing grocery mission rather than manufacture demand.
- Prefer customer-controlled assistance over automatic basket changes.
- Avoid solutions whose value depends mainly on large discounts.

2. RICE-based prioritisation

RICE score = Reach × Impact × Confidence ÷ Effort. Reach uses a 1–10 eligibility scale; Impact uses 0.5–3; Confidence is evidence-based; Effort is a relative delivery estimate. Frequency risk is reviewed separately because a high-scoring idea can still damage the urgent-use case.

Rank	Idea	Reach	Impact	Conf.	Effort	RICE	Frequency risk
1	Zepto Flex Credits	8	2.5	60%	4	3.00	Medium
2	Personalised AI Planner	7	3.0	65%	5	2.73	Low–medium
3	Contextual complements	8	1.5	80%	4	2.40	Low
4	AI Basket Check	8	1.5	70%	4	2.10	Low
5	Smart refill recall	6	1.25	80%	3	2.00	Low
6	Forgot-something checklist	8	0.75	75%	2.4	1.88	Low
7	Pack and unit price	6	0.75	75%	2	1.69	Low
8	Meal ingredient completion	6	2.0	60%	5	1.44	Low–medium
9	Search recovery	3	1.0	80%	2	1.20	Low
10	Reusable grocery list	5	1.5	60%	4	1.13	Low
11	Local assortment ranking	5	1.25	65%	5	0.81	Low
12	Post-checkout add-on	4	1.5	55%	7	0.47	Medium
13	Freshness confidence	3	0.75	60%	3	0.45	Low
14	Substitution preferences	2	0.75	75%	3	0.38	Low

Decision from prioritisation

- The AI planner has a direct route to AOV growth if it helps customers find and approve additional products needed for their current task. Since 26 of 31 surveyed orders came from immediate needs, the first use case should fit those tasks. Flex Credits ranks highest in the estimated RICE scores, but its direct AOV effect is less certain. It may encourage another genuinely needed unit and support a later urgent order. Customers who already buy two units may receive a reward without changing behaviour.
- Refill and complement ideas remain useful supporting capabilities, but they are less differentiated and do not form the primary product direction.

3. Two shortlisted solutions

Solution 1: Personalised AI Grocery Planner

- The customer can speak or type a request such as “Help me buy ingredients for tonight’s pasta under ₹300.” The planner starts with the customer’s current task, budget and stated preferences.
- With permission, AI uses purchase history, reorder frequency, preferred brands, pack sizes, ingredients, dietary preferences and current store availability to prepare an editable draft basket.
- The customer reviews every item, changes quantities, replaces or removes products and explicitly chooses what enters the real cart.
- The assistant explains relevant cues, such as an item being frequently reordered, but does not claim to know what remains in the customer’s home.
- Why selected: It can reduce searching and help customers include forgotten or undiscovered products needed for their current grocery task. The customer remains free to approve a small basket or reject every suggestion.
- Additional advantage of weekly planning: One editable list can save repeated list-building and searching for customers who choose it.

Solution 2: Zepto Flex Credits

- An eligible delivered order earns a ₹30 delivery credit. Two or more item units qualify, including identical units, with up to two credits per calendar month. Manual and AI-assisted orders qualify.
- The credit can be used on a later urgent small grocery order without a redemption minimum.
- Why selected: It supports later urgent orders and may encourage another needed unit today. Test its uncertain AOV effect against control.
- Commercial control: Credit value, eligibility and caps are set through contribution-margin experiments rather than a permanent blanket discount.

4. Product direction and trade-offs

Coherent direction: Complete immediate grocery tasks with less searching. Weekly planning is an optional advantage; Flex Credits support a later urgent order. The ₹480 AOV target remains unproven.

Solution	Optimises for	Accepts or sacrifices	Primary safeguard
AI Grocery Planner	Relevant current-task completion, search effort and potential AOV growth.	Model cost, prediction error and purchase-history privacy.	Customer initiates and approves; personalisation can be disabled or cleared.
Flex Credits	Later urgent-order convenience; uncertain direct AOV effect.	Credit cost, gaming risk and possible Pass cannibalisation.	Issue after delivery; cap use; fund only from incremental contribution.

5. Manipulation line

Allowed: User-initiated voice or text planning, permission-based purchase-history use, explicit budgets, transparent substitutions, editable recommendations, clear credit terms and an uninterrupted path to checkout.

Not allowed: Automatic additions, automatic checkout, hidden sponsored ranking, raised budgets, forced bundles, countdowns, guilt messages or “add ₹X more” pressure.

Final boundary: The system may prepare a personalised draft, but it must never decide or transact for the customer. Its objective is to fulfil the stated grocery goal within the customer’s constraints, not to maximise basket value at any cost.

Step 4 Design Experience PRD and Prototype

Objective: Translate the AI Grocery Planner and Flex Credits into an ordering experience focused on current grocery needs, with optional weekly planning and fast, small-order checkout.

Product decision: The customer initiates assistance for an immediate need or chooses optional weekly planning, reviews the draft and approves every purchase. A delivered grocery order containing two or more item units earns one ₹30 delivery credit, including identical units. Issuance is capped at two credits per customer per calendar month.

Status: The interactive prototype is built and published on Replit. A limited screen walkthrough confirmed planner entry, a purchase-history permission prompt, draft review controls, profile settings and a Flex Credits wallet. Requirements below distinguish intended policy from observed demonstration behaviour. No usability or business-impact results are claimed.

1 Experience flow and user journey

Stage	Customer action	Product response
App open	Choose normal shopping or optional AI planning.	Keep search, browsing and direct checkout accessible.
Define the need	Describe a current need, budget and preferences, or choose optional weekly planning.	Ask only necessary clarifying questions; request permission before using purchase history.
Prepare a draft	Wait for a proposed basket.	Use current availability and stated constraints. Explain relevant suggestions and disclose uncertain assumptions.
Review the draft	Remove, replace or change quantities.	Update the total immediately. Removing an item should take no more effort than adding it.
Approve and view cart	Explicitly add selected products to the real cart.	Show the final basket, fees and Flex Credit eligibility. Recheck price and availability.
Checkout	Confirm delivery details, payment and purchase.	Complete the existing checkout flow. AI never places the order.
Delivery and credit	Receive the order.	After successful delivery, issue a ₹30 credit if eligible and below the monthly cap.
Later urgent order	Choose an available credit on a later order.	Apply up to ₹30 against the delivery charge, including on a one-item order without a redemption minimum.

Path for a customer who wants only one item

Open app → search → add one unit → review cart → checkout. Planning is optional and can be skipped. This order does not earn a new credit, but an existing Flex Credit can be redeemed. Do not add extra confirmation steps, force another item or show a countdown to qualify.

Fallback when planning fails

If the assistant cannot interpret a request or prepare a reliable basket, retain the customer's input and offer ordinary search or a simple editable list. Unavailable items are excluded or presented as explicit substitution choices. Never silently increase the budget or substitute a product.

2 Product requirements document

Problem and users

Customers often arrive with a narrow urgent need. Nine of 31 survey respondents forgot another item or were unsure whether Zepto stocked it. The planner first serves customers who need help completing a current grocery task, such as buying ingredients for a meal. Routine replenishers may also choose weekly planning. Customers with one known item retain normal search and checkout.

Goal and solution

Work towards ₹388 to ₹480 AOV without reducing order frequency. The optional AI planner aims to reduce search effort and capture relevant products needed for the current task. Weekly planning is an additional convenience to test separately. Flex Credits reward orders with at least two item units and support later delivery convenience. Both features' effects on AOV and contribution remain hypotheses.

Scope

- AI Grocery Planner: voice or text input for immediate grocery tasks, with optional weekly planning; explicit budget and preferences, permission-based personalisation, availability-aware draft, item-level editing and customer-approved transfer to cart.
- Flex Credits: quantity-based qualification, post-delivery issuance, monthly earning cap, available and pending states, delivery-fee redemption, expiry and restoration after a failed redemption order.
- Existing surfaces: home or search entry, cart and checkout, plus order confirmation and a credit balance or rewards surface for the credit lifecycle.

Out of scope

Automatic ordering or checkout; mandatory AI use; subscriptions or recurring automatic purchases; monetary minimums for earning or redeeming credits; hidden sponsored suggestions; cash withdrawal or credit transfers; changes to delivery operations or catalogue expansion.

AI planner functional requirements

- The customer supplies a current grocery goal and may set a budget. Offer weekly planning as a choice, without assuming urgent buyers want a weekly basket. Never increase the budget; when a goal cannot be met, explain the constraint and request a choice.
- Purchase-history use requires permission. Without it, planning uses the stated request and preferences. Reorder patterns are suggestions, not proof that an item has run out at home.
- Every draft item is visible with its quantity and price. Removal, replacement and quantity changes update the draft total before approval.
- Draft generation does not change the real cart. Only an explicit customer action transfers selected items; checkout remains a separate confirmation.
- Price or availability changes must be disclosed before payment. Substitutions require acceptance.

Flex Credit business rules

Rule	Required behaviour
Earning eligibility	At least two grocery item units in the successfully delivered order. Identical units qualify; two distinct products are not required. No minimum merchandise value and no AI-use requirement.
Reward and timing	Issue one ₹30 delivery credit after successful delivery. Before delivery, show a pending reward rather than a spendable credit.
Monthly cap	Maximum two credits issued per customer per calendar month. Use India Standard Time for the month boundary. Redeeming a credit does not reset this cap.
Redemption	One credit per later grocery order; no minimum basket value. One-item orders may redeem an existing credit.

Rule	Required behaviour
Coverage	Apply up to ₹30 against the delivery charge. Any separate handling, small-cart or surge fees remain payable and must be disclosed.
Expiry	Expire each unused credit 30 days after issuance. Show its expiry date and a simple reminder.
Failed redemption	Restore a reserved or consumed credit if the redemption order is cancelled or fails. Expiry handling when restoration occurs after the original expiry requires a policy decision.
Stacking and transfer	No stacking with another delivery waiver, cash withdrawal or transfer. Show the better applicable delivery benefit before customer confirmation.
Cancelled earning order	A cancelled or failed order earns no credit. Partial fulfilment and post-delivery refunds require the policy decisions listed below.

Examples for eligibility and redemption

- One packet of milk: no new credit. Two packets of the same milk: one ₹30 credit after delivery, subject to the monthly cap.
- One packet of milk and one loaf of bread: one ₹30 credit after delivery, subject to the monthly cap.
- Third qualifying order in the same calendar month: no new credit. Existing unexpired credits remain usable.
- Later one-item order with a ₹20 delivery charge: redeem one credit, pay no delivery charge and forfeit the remaining ₹10. Other disclosed fees remain payable.

Policies to resolve before a live pilot

Decide whether to honour a promised credit when Zepto's partial fulfilment reduces the delivered quantity below two; how customer-requested refunds affect unused earned credits; and how long a restored credit remains valid if its original expiry has passed. These edge cases are not confirmed prototype capabilities.

Success metrics and instrumentation

Primary outcome: AOV across all completed grocery orders in the experiment cohort, rather than only qualifying orders or AI users. Calculate merchandise value after product discounts and exclude delivery and other fees, using the same definition for baseline and treatment. The ₹480 target is a desired business outcome, not a validated forecast.

- Customer value: draft-to-approved-cart conversion, retained relevant items, end-to-end shopping time, edit/removal success and customer-rated relevance. Report immediate-task use and optional weekly planning separately.
- Business guardrails: completed orders per customer, checkout completion, contribution per customer after redeemed credits and AI costs, refunds, substitutions and urgent one-item checkout time.
- Credit diagnostics: issuance and redemption rates, realised cost, expiry rate, identical-item qualification and low-value additions made to qualify.

Track planner opened, request submitted, draft generated, item edited or removed, draft approved, checkout completed, order delivered, credit issued, redeemed, expired and restored. Connect events to an order and customer while applying consent and privacy controls.

3 Core features and success criteria

Feature 1 AI Grocery Planner

Acceptance criteria: A customer can initiate planning, set constraints, receive an editable draft, remove an item as easily as adding it, and explicitly approve selected items. The real cart stays unchanged until approval, and the customer confirms checkout separately. A genuine one-item customer can bypass planning entirely.

Validation criterion: Test immediate tasks, such as buying ingredients for tonight's meal, and optional weekly planning separately. Check task completion, intended-list coverage, shopping time, draft versus real-cart understanding and budget compliance. These are proposed tests, not completed results.

Feature 2 Flex Credits

Acceptance criteria: One unit does not qualify; two identical units do. A qualifying delivered order earns one ₹30 credit, and the third qualifying order in a calendar month earns none. A one-item order can redeem an existing credit. Redemption never exceeds the delivery charge, unused value is forfeited, expiry is visible and failed redemption restores the credit.

Business criterion: Scale only if the experiment shows higher AOV with stable order frequency and improved contribution per customer. A higher item count alone does not establish success.

Step 5 Go to Market Growth Loop and Business Impact

Objective: Launch to existing frequent grocery customers, first validate immediate-task assistance, and separately test weekly planning as an optional advantage. Expand only when useful basket growth improves economics without reducing order frequency.

Decision: Begin with a controlled Tier 1 pilot focused on small, immediate grocery tasks. The AI planner is the primary feature for capturing additional intended needs; weekly planning is an optional advantage. Flex Credits support a later urgent order, with a less certain direct AOV effect. Rollout percentages and financial examples are proposed inputs, not results.

1 Launch plan and first customer cohort

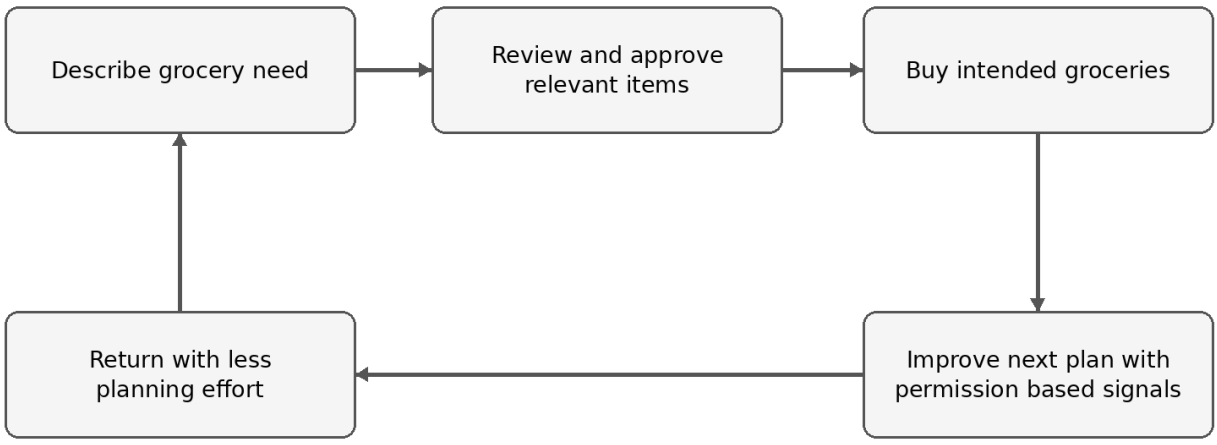
Start with active grocery customers in selected Tier 1 service areas with reliable availability for the pilot tasks. Proposed eligibility: grocery purchases in at least three of the previous four weeks, with most recent baskets containing five items or fewer. Verify this using order history. Frequent use does not establish a preference for weekly planning.

Survey rationale: Across the sample, 26 of 31 orders arose from immediate needs. Among 14 Tier 1 respondents, 12 bought five items or fewer, six forgot an item or were unsure of availability, and 11 preferred replenishment suggestions or complements. These findings support testing relevant immediate-task assistance, but do not prove demand for AI or weekly planning.

Recruit usability participants with forgotten needs or discovery difficulty. Test immediate tasks first and recruit a separate set of customers who choose weekly planning. For the commercial pilot, randomise eligible customers rather than selecting only enthusiasts. Introduce optional assistance for the current need, retain a weekly-planning choice, and preserve normal search and one-item checkout.

2 Customer value and the growth loop

The customer describes a current grocery need and reviews a proposed basket. With permission, approved purchases and explicit preferences can improve a later request. If customers need less searching and correction, they may return. Weekly planning adds potential convenience for those who choose it. Purchase history does not prove what remains at home; repeat usefulness requires validation.



Flex Credits support a later urgent order; useful planning drives repeat use.

An eligible delivered order earns a ₹30 delivery credit, capped at two issuances per customer per calendar month. A later one-item order can use an existing credit. Credit economics must be evaluated separately from the planner’s value.

Validation question	Measure

Validation question	Measure
Do customers adopt it?	Planner starts among customers shown the entry; approved drafts among generated drafts.
Does it save effort?	Shopping-start to checkout-ready-cart time, including review and editing; compare similar immediate tasks and weekly planning separately.
Does it capture intended needs?	Final cart coverage of an independently prepared shopping list in usability testing, plus post-shopping feedback.
Are suggestions useful?	Suggested items retained and customer-rated relevance.
Does usefulness persist?	Repeat use on later needs; report immediate-task and optional weekly-planning use separately.

3 How the AI planner could increase AOV

A customer needs ingredients for tonight's pasta and initially remembers only pasta. They can ask for the meal ingredients within ₹300. The planner may surface sauce or vegetables that they also need. If the customer approves and purchases those products, the order value increases. Products already available at home should be removed. A customer who only needs milk may see no basket growth. Weekly planning is another optional use case, not the main behaviour assumed from the survey.

Illustrative outcome	Value
Existing basket	₹388
Basket after additional intended needs are purchased	₹480
Additional merchandise value per order	₹92
Required AOV increase	23.7%

This is a mechanism to test, not a guaranteed lift. Reaching ₹480 from ₹388 requires ₹92 more per completed order on average. For illustration, if half of all orders gain ₹184 and the rest remain unchanged, the overall gain is ₹92; if only a quarter gain ₹184, it is ₹46. Adoption and additional purchased value both matter. The survey cannot establish either. Weekly planning could combine orders, so evaluate frequency alongside AOV. Establish the actual pilot baseline before forecasting.

4 Incremental contribution per order

Incremental contribution is the additional money remaining after the costs associated with the additional purchases and the feature. The ₹92 AOV increase is sales value, not profit: Zepto must first pay for those products.

Illustrative AI planner calculation

Assume the additional ₹92 of merchandise has a 20% product margin. Product cost is ₹73.60, leaving ₹18.40. Then subtract AI costs and additional picking, packing or handling costs. These assumptions require validation using actual product mix and operating data.

Calculation	Amount per completed order
Additional merchandise value	₹92.00
Cost of the additional products	−₹73.60
Additional product margin	₹18.40

Calculation	Amount per completed order
AI cost averaged across treatment orders	−₹2.00
Additional picking packing and handling	−₹3.00
Incremental contribution for AI planner alone	₹13.40

In this example, AOV increases by ₹92 while contribution increases by ₹13.40 per order. The AI planner-only calculation does not include Flex Credits. Combined treatment must also deduct attributable redeemed credit cost; do not deduct ₹30 on every order because not every order earns or redeems a credit.

Illustrative combined-treatment example: If redeemed delivery credits cost an average ₹4 per completed treatment order, incremental contribution becomes ₹13.40 − ₹4 = ₹9.40. The ₹4 is an assumed realised cost, not a forecast. Track foregone delivery revenue or credit cost once within a consistent accounting definition.

How to calculate the actual result

Randomly assign comparable customers to control, with the current shopping experience, or treatment, with access to the AI planner. Include all completed grocery orders from assigned customers, even when they ignore the planner. This measures the effect of offering the feature rather than the behaviour of self-selected users.

- AOV = completed merchandise value after product discounts ÷ completed orders. Exclude delivery and other fees and use the same definition in both groups.
- Contribution per order = (net merchandise value + retained delivery and fee revenue − product cost − other funded discounts not already deducted − variable fulfilment costs − refund costs not already deducted − AI costs) ÷ completed orders.
- Incremental contribution per order = treatment contribution per order − control contribution per order.

Avoid double-counting discounts, credits and refunds. Include AI costs for abandoned plans in the treatment's total cost as well as successful plans. Use order-level product costs and category mix rather than assuming all additional products earn a 20% margin. Report contribution per customer alongside contribution per order to detect losses from reduced frequency.

Path towards positive EBITDA per order

The supplied brief reports EBITDA loss of ₹78.75 per order for FY26 and ₹59.40 for the March quarter. Using the ₹59.40 loss only as an illustrative reference, adding ₹13.40 of contribution would leave approximately ₹46.00 loss per order if other economics were unchanged. The combined example of ₹9.40 would leave ₹50.00 loss.

The AOV target therefore narrows the loss in these examples but does not establish profitability. A reliable bridge to positive adjusted EBITDA requires actual cohort economics, overhead allocation and consistent EBITDA definitions. Do not treat contribution as adjusted EBITDA or add the FY26 and quarterly loss figures together.

5 Frequency protection and evaluation

Monitor weekly trends and monthly outcomes against control. Track completed orders per assigned customer, including customers who stop ordering; average monthly orders per active customer; retention; time between orders; and one-item checkout completion and duration. Keeping both assigned-customer and active-customer measures prevents churn from making frequency appear healthy.

If AOV rises while frequency falls, pause expansion and investigate consolidation, checkout friction or pressure to buy more. Assess immediate-task assistance and weekly planning separately, because weekly baskets may combine several orders. Preserve normal shopping and evaluate credits separately if combined treatment weakens contribution.

Weekly and monthly AOV = total completed merchandise value in the period ÷ completed orders in that period. Also report merchandise spend and contribution per customer. Set tolerable guardrail changes and sample size before launch using baseline variance; do not declare success from one favourable week.

6 Cohort rollout and advancement checks

Stage	Proposed exposure	Check before advancing

Stage	Proposed exposure	Check before advancing
Usability testing	Small group matching target behaviour	Customers understand the draft, edit easily and capture intended needs.
Controlled pilot	5% of eligible customers with randomised control	Reliable flows, useful recommendations and no early frequency harm.
Expanded pilot	20% of eligible customers; retain control	Sustained AOV lift, stable frequency and higher contribution after feature costs.
Wider rollout	More Tier 1 areas then a separate Tier 2 pilot	Benefits persist across areas and customer segments; no concentrated harm to small-basket users.

Begin with planner-only access versus control to validate immediate-task assistance. Weekly planning stays optional; assess its usefulness and frequency effects separately. If sample size permits, use four randomised groups: control, planner only, credits only and combined. Include all assigned customers for the launch-impact comparison. Comparisons between customers who choose different modes are diagnostic, not causal proof.

Evaluate weekly with monthly summaries and sufficient observation to cover the 30-day credit redemption cycle. Rollout percentages are starting proposals; advancement depends on adequately powered results and the checks above. Expand when customers complete more genuine grocery needs with less effort and the resulting economics improve without reducing frequency.

Step 6 Metrics and Success Measurement

Objective: Measure basket growth and business health together. Use AOV as the North Star, supporting metrics to explain the change, guardrails to detect harm and product events to collect the required evidence.

1 North Star metric and target

North Star: 30-day grocery average order value. Target: move from the brief's ₹388 baseline towards ₹480 within six months, while maintaining or improving monthly order frequency, protecting retention and improving contribution per customer.

30-day grocery AOV = total grocery product value after product discounts across completed orders in 30 days ÷ number of completed grocery orders in that period. Exclude delivery and other fees. Product value means the groceries purchased: a ₹400 grocery basket with ₹30 in fees contributes ₹400 to the AOV calculation, not ₹430.

The target is a 23.7% increase from baseline, not a fresh 23.7% increase every month. Use rolling 30-day windows for monitoring and pre-specified experiment periods for formal comparisons. Establish the pilot cohort's actual baseline; it may differ from the brief's company-wide figure.

Measure all completed grocery orders from customers assigned access, including orders without planner use. Track the original assigned cohort, including customers who stop ordering, for frequency and retention. Losing low-spending customers must not be counted as healthy AOV growth.

2 Supporting metrics

Metric	Definition and purpose
Items per completed order	Total purchased item units ÷ completed orders. Also track distinct products per order to distinguish identical units from broader baskets.
Category mix	Share of product value by category and distinct categories per order. Assess whether growth comes from relevant dairy, staples, vegetables or other grocery needs.
Customers whose AOV increased	Among assigned customers with purchases in the baseline period, count those whose evaluation-period AOV exceeds their baseline AOV. Divide by the full baseline-purchasing cohort; report non-purchasers separately and compare with control.
Repeat planner use within 30 days	Share of first-time planner users who start another planning session within 30 days. Use users with a complete follow-up window.
Draft to cart approval rate	Approved drafts ÷ successfully generated drafts, using unique plan IDs. Indicates whether suggestions become customer-approved cart additions.
Time to checkout ready cart	Elapsed time from shopping start to a checkout-ready cart, including generation, review and editing. Compare similar shopping missions and report completion alongside time.

Interpret supporting metrics together. Higher AOV, relevant additions, repeat use and lower shopping effort would support the proposed mechanism. Report results by immediate-task and weekly-planning mode to identify differences. Compare similar tasks and use independently prepared lists to check intended needs. Overall causal impact still comes from randomised groups, not self-selected mode users.

3 Guardrail metrics and response

Guardrail	Measurement and warning signal

Guardrail	Measurement and warning signal
Order frequency	Completed orders per assigned customer over 30 days, including zero-order customers; also report orders per active customer. Compare treatment with control.
Small basket customer retention	Repeat-purchase rate among customers with historically low-value baskets, defined before launch. Investigate concentrated churn even if overall AOV rises.
Cart abandonment	Share of cart-building sessions that do not complete checkout within a pre-defined attribution window. Use the same window in control and treatment.
Post purchase regret	Post-order feedback on unwanted purchases or pressure to add products. Use the same question and sampling method in both groups; returns alone cannot capture all regret.
Returns and cancellations	Cancelled-order rate and refunded-item rate, with reasons. Check unwanted products, substitutions and fulfilment problems separately.
Contribution per customer	Total contribution after AI, redeemed credits and other variable costs ÷ assigned customers. Higher AOV must not conceal worse customer economics.
Urgent checkout speed	Time and completion rate for one-item or small urgent shopping missions. Planning must not disrupt the existing fast path.

Before launch, specify baseline values, acceptable guardrail changes, sample size and decision thresholds. Monitor weekly and evaluate 30-day outcomes against control. If AOV rises while frequency falls or contribution worsens, pause expansion and investigate consolidation, checkout friction, recommendation relevance and credit costs. Do not select tolerances after seeing results.

4 Event tracking specification

An event is a recorded product action. Connect planning and checkout using a plan ID, session ID, customer ID and order ID where applicable. Use consistent event definitions in control and treatment, and deduplicate repeated or retried events.

Event	Purpose and key properties
planner_entry_shown	Opportunity to try planning. Record customer, experiment group, timestamp, session and entry surface.
planner_started	Initial adoption. Record plan ID and input mode, such as voice or text.
plan_generated	Successful draft creation. Record generation duration, suggested product IDs, quantities, prices and selected total.
plan_item_edited	Removal, replacement or quantity change. Record plan ID, product ID, action and before/after quantities or replacement product.
plan_approved	Explicit transfer of selected products to the cart. Record approved products, quantities and value; preserve their plan provenance.
checkout_started	Checkout entry. Record session, cart value, quantities and any associated plan ID.
order_completed	Completed purchase. Record order ID, purchased products, quantities, categories, net grocery value and delivery/other fees.
order_delivered	Successful delivery. Record delivered quantities and delivery timestamp; use for credit-issuance eligibility.

Event	Purpose and key properties
credit_issued	Reward issuance. Record credit ID, qualifying order ID, face value, issue time and expiry time.
credit_redeemed	Realised credit use. Record credit ID, redemption order ID and actual delivery discount.
order_cancelled	Failed or cancelled purchase. Record order ID, timing and cancellation reason.
item_refunded	Refunded products. Record order/product ID, quantity, refund amount and reason.

Record planner failures and credit expiry/restoration events where those behaviours are implemented. Use existing shopping-session and cart-change events to calculate time and abandonment; add consistent instrumentation if absent. Obtain product costs, fulfilment costs and AI usage costs from the relevant operational systems to calculate contribution.

Common properties: customer ID, experiment assignment, timestamp, session ID, plan/order ID and service area. Record the customer-selected task type, such as immediate meal, replenishment or weekly planning, without storing raw request text. Product events also carry product ID, category, quantity and value. Avoid raw voice recordings merely for adoption measurement.

Adoption funnel

Planner entry shown → planner started → draft generated → plan approved → order completed → planner used again. Examine each transition to identify drop-off, then connect behaviour to AOV, frequency and contribution. Repeat use is a customer-level follow-up measure rather than a required step in the same order session.

Step 7 Risks Trade offs and Constraints

Objective: Identify what could prevent the AI Grocery Planner and Flex Credits from delivering healthy basket growth, explain the deliberate sacrifices in the first version and define the limits that must hold before scaling.

Decision: Prioritise customer relevance and control over maximum short-term basket growth. Accept limited language coverage and uncertain AOV impact during the pilot. Scale only when useful additional purchases improve contribution without reducing frequency.

1 Revenue and business risks

Risk	Potential impact	Mitigation
Low margin basket growth	AOV rises but additional products provide little margin.	Use actual product mix and contribution after AI, credits and incremental handling costs.
Subsidising existing behaviour	Customers who already buy two units earn credits without changing their purchases.	Compare credit-only treatment with control to measure incremental spend, orders and contribution.
AI use without purchase	Repeated or abandoned plans accumulate cost without additional sales.	Track total AI cost per approved plan and completed order; reuse suitable results and avoid unnecessary regeneration.
Overlapping delivery benefits	Credits add little value when another benefit already covers delivery, or replace paid delivery revenue.	Avoid stacking delivery waivers; show the applicable benefit clearly and count revenue forgone once.
Advertising revenue trade off	Relevant plans may reduce exposure to sponsored products.	Label sponsored placements clearly; do not silently let sponsorship determine grocery recommendations. Monitor any change in advertising revenue.
Reduced order frequency	Weekly planning may combine several urgent orders into one, increasing AOV while frequency falls.	Evaluate task types separately and compare overall frequency with control. Pause expansion if the frequency condition fails.

2 Credit qualification and duplicate products

Identical products are not automatically a failure. Two packets of milk can represent a genuine need and increase basket value. The current quantity-based eligibility rule remains: two or more delivered item units qualify, including identical units, with a maximum of two ₹30 credit issuances per customer per calendar month.

The commercial risk is unnecessary or cheap additional units purchased mainly to earn the credit. An extra ₹10 product may qualify an order while its margin fails to fund the later delivery benefit. Monitor identical-unit qualification, low-value additions, post-purchase regret and contribution after realised credit costs. Revise eligibility or credit value before scaling if the reward predominantly drives unhelpful additions or worsens economics.

3 Customer segment risks

Segment	Limitation	Product response
Urgent one item buyer	Planning adds effort when the customer already knows what they want.	Keep normal search and checkout accessible; planner prompts must not block the urgent path.
Price sensitive shopper	Relevant suggestions remain unaffordable. Planning alone does not resolve higher prices.	Respect the stated budget and show pack prices clearly. Do not assume additional suggestions create additional value.
New customer	Insufficient history for reliable personalised recommendations.	Use the explicit request and a few necessary clarifying questions; avoid claiming personal knowledge.
Shared household or account	Order history reflects several people with different needs.	Ask customers to confirm preferences rather than treating past purchases as a fixed personal profile.
Other language users	English-only voice input limits access and may depress adoption.	State the supported language, preserve ordinary shopping and validate additional languages separately.
Customers outside the pilot	Tier 1 frequent shoppers may behave differently from occasional or Tier 2 customers.	Validate each expansion cohort; pilot results do not establish broad customer suitability.

4 Deliberate trade offs

English only voice input during the initial pilot

The first version supports English voice input. This limits language scope so recognition and the ordering flow can be evaluated with less complexity. The sacrifice is weaker access for customers who prefer other languages. Clearly state the limitation and retain normal shopping. Expand after assessing recognition errors, task completion and feedback; English-user results do not establish readiness for another language or accent group.

Customer approval over fully automatic shopping

Editable drafts and separate cart approval add a review step but protect customer control, budget and trust. Accept this friction instead of automatically adding or purchasing products. Measure end-to-end shopping time, including review, to establish whether the overall experience saves effort.

Relevance over immediate revenue maximisation

Recommendations follow the customer’s stated need and constraints. This may produce smaller baskets or fewer sponsored impressions than a revenue-first ranking. Accept those outcomes when additional products would not help the customer; assess contribution through actual useful purchases.

Controlled learning over immediate broad rollout

Start with a smaller cohort and a comparison group rather than launching to everyone. This delays reach but makes it possible to assess causal impact, detect concentrated harm and separate the planner’s economics from the credit incentive.

5 Product and operational constraints

Constraint	Requirement
Stock and assortment	Build from the serving store's catalogue and availability. Do not promise unavailable products; request approval before substitution.
Price and budget	Stay within the customer's stated budget. Recheck prices before checkout and clearly disclose changes from the draft total.
Dietary requirements	Do not infer allergies or dietary restrictions from purchase history alone. Collect explicit preferences and show product information without claiming unverified suitability.
Speed	Generation and editing must not obstruct urgent checkout. Offer ordinary search when planning fails or adds unnecessary effort.
Fulfilment effort	Additional items can increase picking, packing, substitutions and refunds. Measure these costs; larger baskets are not free to fulfil.
Privacy and permission	Request permission for purchase-history use and retain a usable experience when declined. Purchase history cannot establish what remains at home.
Credit reliability	Issue rewards once after delivery; enforce earning caps and handle cancellations, refunds and restoration consistently. Resolve the open edge-case policies in Step 4 before the live pilot.
Non manipulative design	Explain credit terms neutrally. Do not use spend-shortfall prompts, countdowns, automatic additions, forced bundles or harder removal to encourage unnecessary purchases.

6. AOV levers we will not use

We will not raise minimum order values, discourage genuine small orders or remove low-spending customers to improve the average. We will not use "spend ₹X more" pressure, false urgency, hidden sponsored ranking, automatic purchases, increased budgets or removal friction. Showing the ₹30 credit value and clear eligibility is permitted transparency; using the reward to pressure additional purchases violates the product boundary.

If the strategy makes customers feel pressured, excludes small-basket users or raises sales without improving contribution, pause expansion and revise the experience. The objective remains useful grocery completion with healthy frequency and economics.